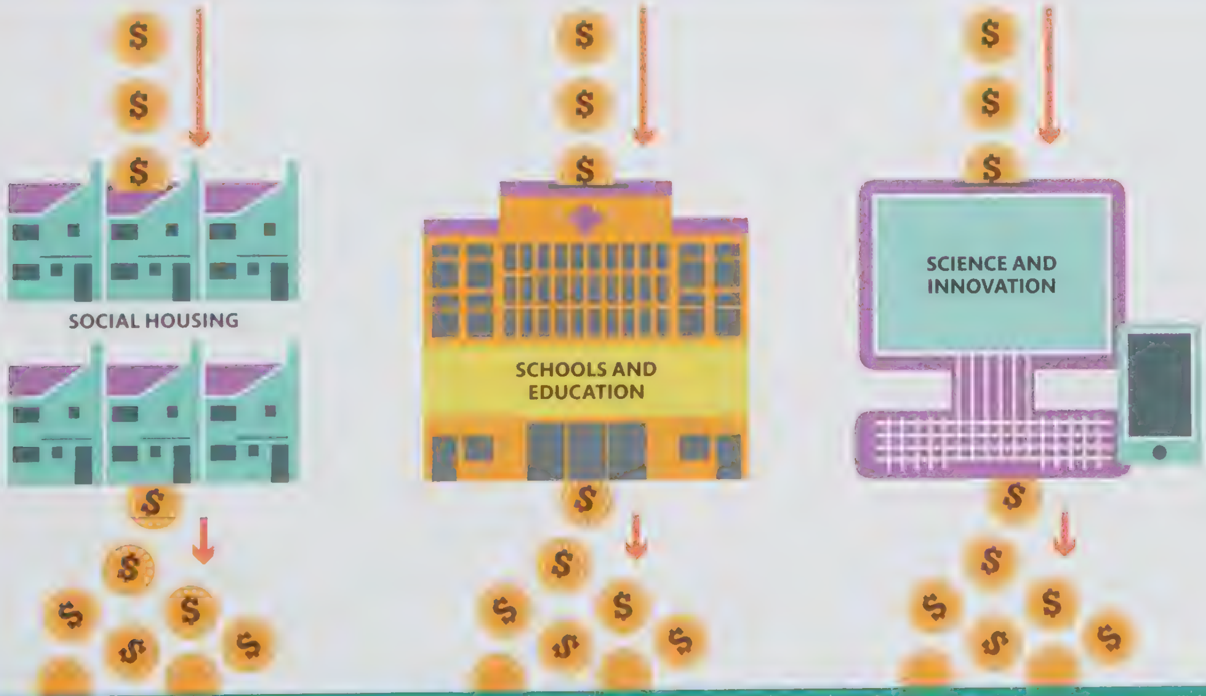
individuals on things such as machinery and buildings, and in the same way the investment will produce a return over its lifetime. Sometimes this return is paid directly (for instance in passenger fares) and sometimes it appears indirectly (for instance in the economic benefits of a new road, helping businesses to trade and resulting in more tax revenues). Governments justify spending by showing the returns it will produce.

CAPITAL SPENDING AND BORROWING

To fund their capital spending, governments (just like businesses) will often borrow money. This means adding to their overall debt, so governments concerned with cutting debts will often look first at ways of reducing capital spending. However, this means missing out on the returns of an investment, so in order to lower the costs, many governments have used private funding. This allows the private investors to share in the returns. In some cases this means full privatization, in which a government allows a private firm to build and run the investment outright. When this is not possible or desirable, private investment may take the form of a deal between government and private investors to split the costs, risks, and profits of building and running the investment.



Returns to government
- **Direct** Rent from tenants
- **Short-term** Cheaper rents; less homelessness; more stable society
- **Longer-term** Growing towns
- **Indirect** Economic growth

Returns to government
- **Direct** None
- **Short-term** Public opinion
- **Longer-term** More productive workforce; better social cohesion
- **Indirect** Economic growth

Returns to government
- **Direct** Revenue from research
- **Short-term** Tax revenues
- **Longer-term** New markets; investment in business
- **Indirect** Faster economic growth